BIG MOUNTAIN PRICING ANALYSIS

IS BIG MOUNTAIN RESORT PRICED CORRECTLY?

- Ski resorts must carefully balance ticket pricing with customer demand and perceived value
- Pricing decisions are heavily influenced by resort features such as terrain lifts, and snow conditions
- Incorrect pricing can result in lost revenue from underpricing or reduced demand from overpricing

OBJECTIVE OF THE ANALYSIS

- Determine whether Big Mountain’s current ticket price accurately reflects its available facilities and features
- Use data-driven modeling techniques to estimate an optimal and competitive ticket price
- Evaluate how operational changes, such as modifying terrain availability, impact both pricing and revenue

KEY FINDINGS AND RECOMMENDATIONS

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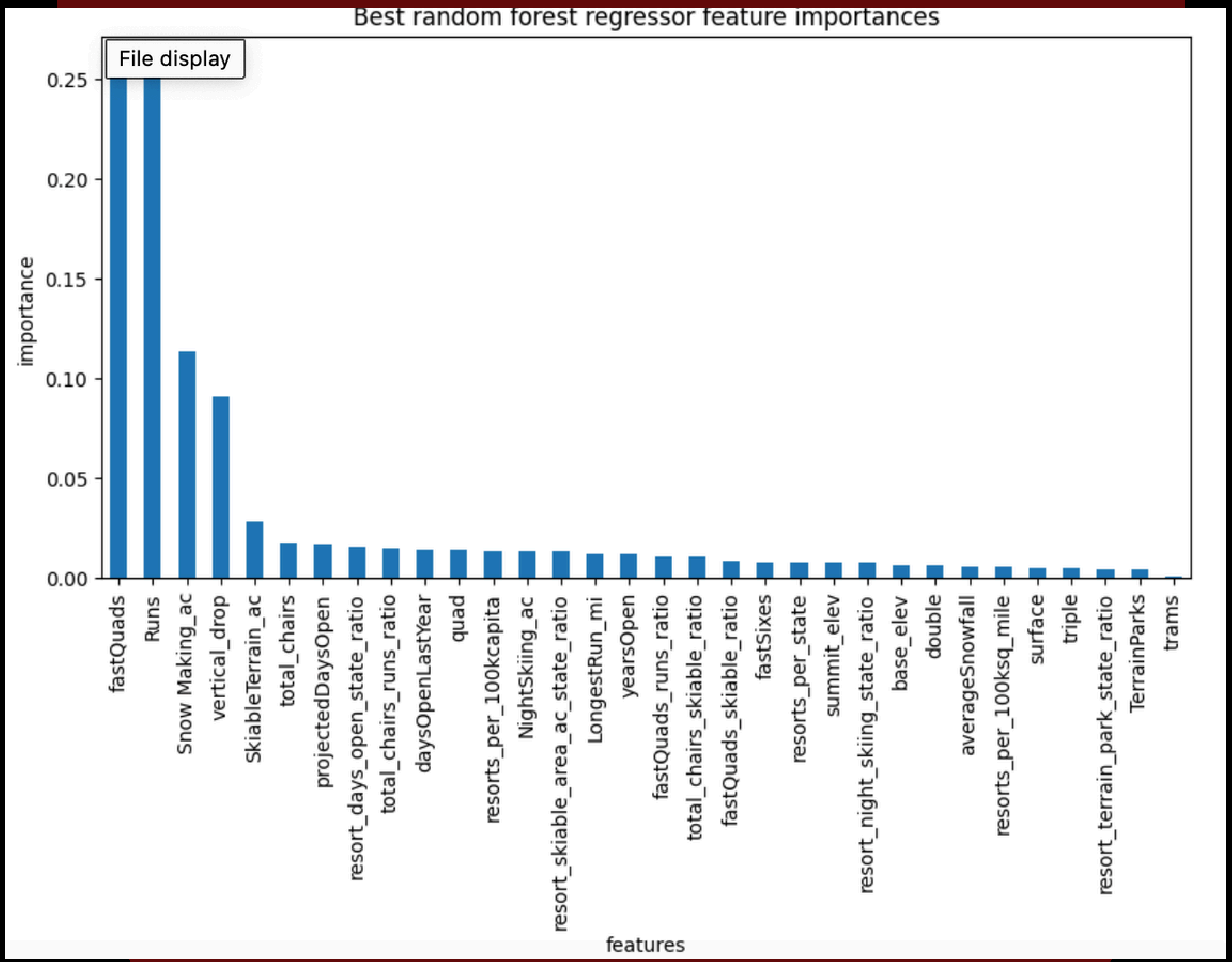
- The current ticket price is approximately $81, which is lower than what the model predicts
- The model suggests the resort could support a price closer to $96 based on its features
- This indicates that Big Mountain is likely underpriced relative to comparable resorts

RECOMMENDATIONS

- Implement a gradual price increase strategy rather than a sudden adjustment
- Continuously monitor customer demand and revenue to avoid negative impacts

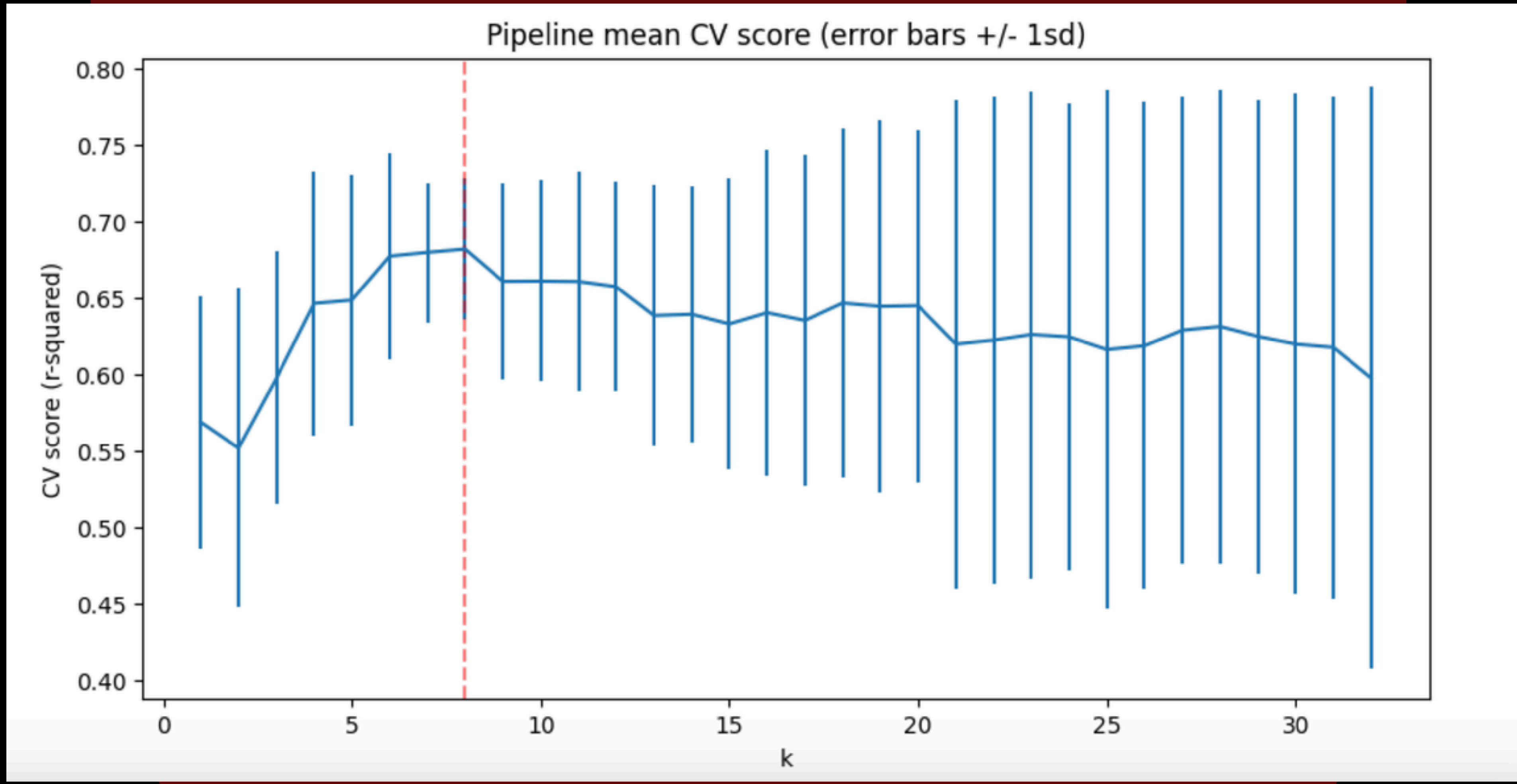
KEY DRIVERS OF TICKET PRICE

- The number of fast quad lifts significantly increases accessibility and overall resort efficiency
- A higher number of runs provides more variety and enhances customer experience
- A greater vertical drop is associated with more challenging and desirable terrain
- Expand snowmaking capabilities to improve reliability and season length



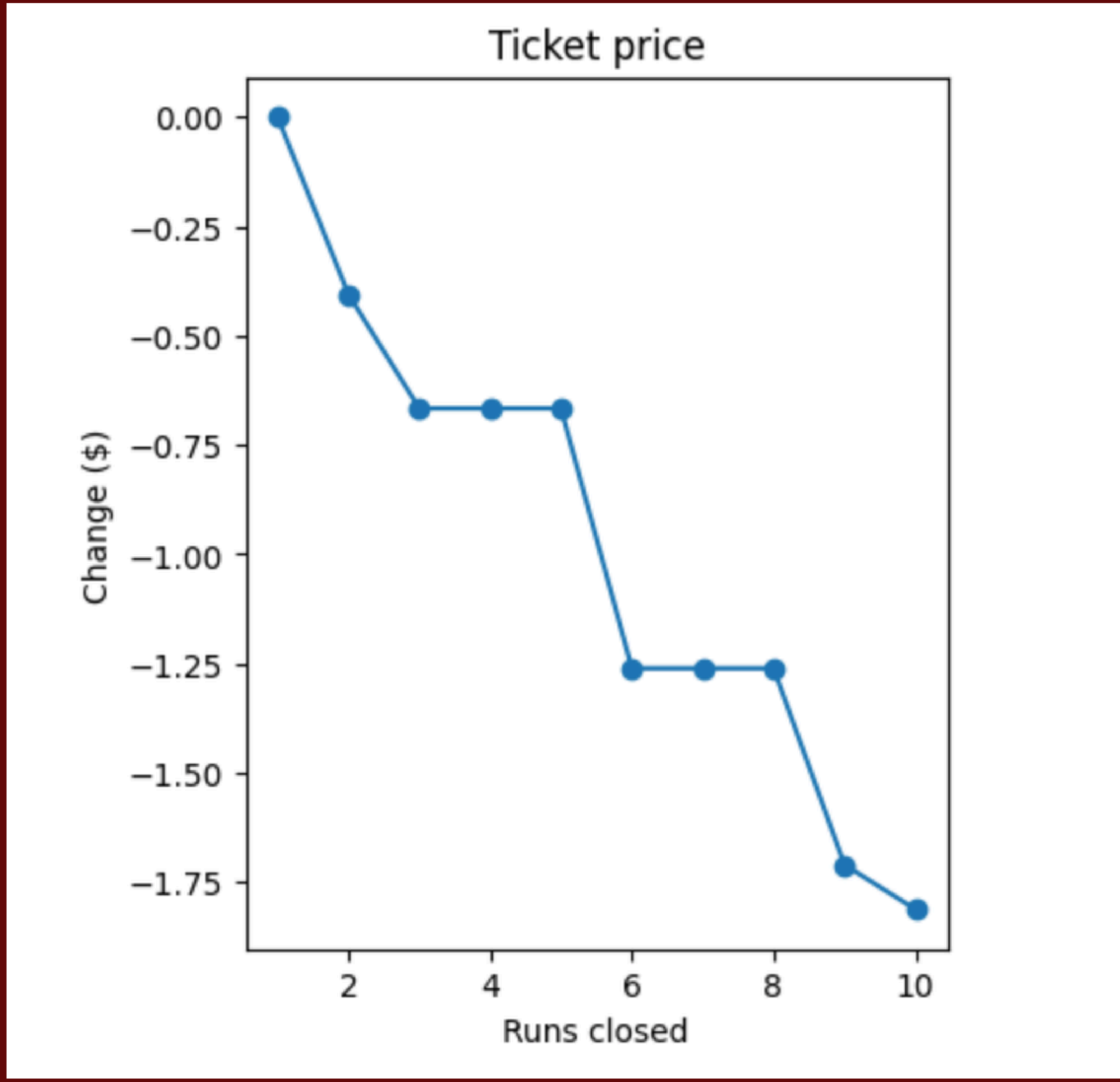
MODEL PERFORMANCE

- Both Linear Regression and Random Forest models were tested to evaluate predictive performance
- The Random Forest model performed better due to its ability to capture nonlinear relationships
- Model performance was optimized when using approximately 7-8 key features
- Cross-validation results indicate the model provides stable and reliable predictions



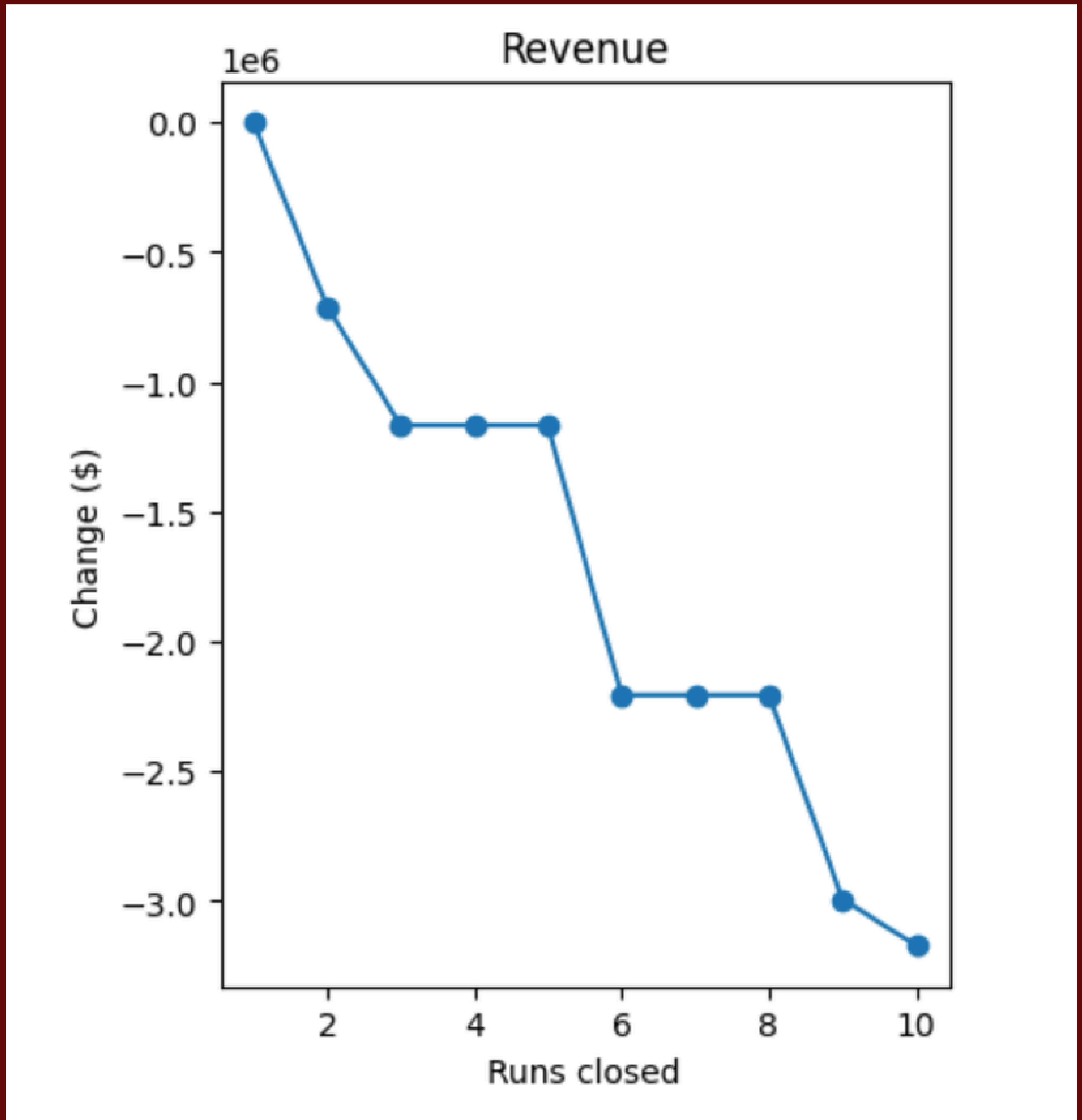
IMPACT OF CLOSING RUNS ON PRICE

- Reducing the number of available runs decreases the overall attractiveness of the resort
- As more runs are closed, the predicted ticket price consistently declines
- This demonstrates that terrain availability is a key factor in determining perceived value



IMPACT OF CLOSING RUNS ON REVENUE

- Revenue decreases significantly as runs are removed from the resort
- Even relatively small decreases in ticket price can lead to large overall revenue losses
- These results highlight the importance of maintaining key features to sustain profitability



FINAL TAKEAWAYS

- Big Mountain Resort is likely underpriced based on its available features and facilities
- Key features such as lifts, terrain, and vertical drop strongly influence pricing
- Scenario modeling shows that operational decisions directly impact both price and revenue